FJ 10310/26

SUMMARY OF RECORD OF MEETINGS HELD AT THE FOREIGN OFFICE ON THE 13TH AND 14TH NOVEMBER 1951 TO DISCUSS "JAPAN'S FUTURE RELATIONS WITH FORMOSA."

Those present were:-

Mr. L.T. Merchant, United States Deputy Assistant Secretary of State for Far Eastern Affairs.

Mr. A.R. Ringwalt, United States Embassy.

Mr. R.H. Scott
Mr. J.H.S. Shattock
Mr. C.H. Johnston
Mr. C.P. Scott
Foreign Office.

Meeting on 13th November.

The meeting had been arranged to discuss a telegram from Mr. John Foster Dulles to Mr. Acheson which had been communicated to the Foreign Office on the 12th November by the United States Embassy.

2. Mr. Merchant began by saying that Mr. J.F. Dulles was now principally concerned with securing the ratification of the Japanese Peace Treaty by the Senate. He and Senators Smith and Sparkman (who would be in charge of defending the Treaty during the Senate debate) believed there was a danger that the Treaty's ratification would be jeopardised unless Japan, in the course of the next few weeks, were to give some indication that she would enter into reasonable relations with Formosa. The United States Government believed that some assurance on this question would be necessary to ensure the Treaty's ratification.

3. Mr. Merchant then made the following points:-

(a) The United States Government wished to maintain with His Majesty's Government a common front towards Japan on this question, as they had done throughout the Peace Treaty negotiations.

(b) The United States Government intended to honour the agreement reached between Mr. Morrison and Mr. Dulles on the 19th June in regard to Chinese participation (Foreign Office Intel No. 144 of the 26th June).

(c) The United States Government had explained their point of view on the recognition of the Nationalist Government of China to the Japanese Government, but had neither sought nor received assurances from them about their future relations with the Nationalists.

(d) By "reasonable relations" between Japan and Formosa was meant an arrangement between the Japanese Government and the Nationalist Government which would permit Japan to continue to trade with Formosa and the other islands under Chiang Kai Shek's control, and permit Japan to enter into agreements with the Nationalist Government as contemplated in Article 4(a) of the Japanese Peace Treaty.

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(e) Since June the United States Government had been discussing with the Nationalists both in Washington and in Taipeh the desirability of a Peace Treaty with Japan on the same lines as the San Francisco Peace Treaty (suitably modified), which would operate only in respect of these territories actually controlled by the Nationalist Government.

(f) The United States Government hoped that agreement could be reached in principle at official level in London, that Japan, if she wished, might propose to the Nationalists a Peace Treaty of the kind described in sub-paragraph (e) above and begin discussions before the San Francisco Treaty came into effect. If this agreement could be achieved it was suggested that, subject to the approval of the Foreign Secretary and Mr. Acheson, instructions should be sent to Sir Esler Dening and Mr. Dulles (who would visit Japan in December) to discuss this agreed proposal in the light of the situation in Japan.

4. Mr. R.H. Scott then replied that His Majesty's Government entirely agreed that they and the United States Government should maintain a common front toward Japan on this and other questions. First, he wished to make the point that Japan could not, until she became a sovereign state, enter into any agreement with the Nationalists: presumably the most that she could do before the Peace Treaty came into effect was to state her intention to enter into an agreement with the Taipeh Government. With regard to the State Department's proposals, Mr. Scott thought that there were difficulties of both a short and a long term character. But first he wished to describe the background against which His Majesty's Government saw these proposals.

5. His Majesty's Government's view, of which the Japanese Government had been informed, was that it was in Japan's own interests not to commit herself to either Chinese Government in the near future. By the Morrison-Dulles agreement of the 19th June it had been agreed that Japan herself must decide her future policy toward China and this could not be done until, with the coming into force of the San Francisco Peace Treaty, she had again become an independent sovereign state.

6. Against this background, His Majesty's Government's difficulties in the short-term in accepting the United States Government's proposals were likely to be that any statement in the Senate that Japan intended to make even a limited Peace Treaty with the Nationalists would expose His Majesty's Government to the charge of conniving at a breach of a fundamental agreement in regard to China on which the successful negotiation of the Peace Treaty had been based. In the long-term, His Majesty's Government was convinced that it would be unwise to try to influence Japan's future policy toward China before the Peace Treaty came into effect. This had been Mr. Dulles' own opinion in June. Mr. Yoshida would welcome an Allied direction that Japan should make peace with one or other of the Governments of China as it would relieve him from all responsibility for a difficult decision. His Majesty's Government considered it of great importance that the Allies should take no action before the Peace Treaty came into force which would enable Japan to claim at a future date that her attitude to China had been determined for her by irresistible foreign pressure, while she remained an occupied country. The danger that the possible failure of Japan's China policy could be blamed upon the Allies, must be avoided. Finally, Mr. Scott said he thought that the United States Government might in advocating this particular remedy for a short-term political difficulty, be laying up considerable trouble for the future.

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7. In subsequent discussion Mr. Merchant, while agreeing that no treaty or agreement between Japan and the Nationalists could come into force before the San Francisco Peace Treaty had taken effect, thought that negotiations could be begun in the meantime (if the parties were willing) without contravening the Morrison-Dulles agreement. He re-emphasized the difficulties which the United States Government might expect during the ratification debate in the Senate. He did notthink that a public statement in the Senate was unavoidable if key Senators could be assured before January that, after the San Francisco Peace Treaty had come into force, Japan intended to enter into relations with the Nationalists whichconformed to the realities of the situation in the Far East. In reply to a question from Mr. Johnston, he was emphatic that the argument that a considerable burden would be thrown upon the United States tax payer if Japan, by making an agreement with the Nationalists, cut herself off from trade with the Chinese mainland, would carry no weight in the Senate. He added that, in the last six months, Japan's trade with Formosa appeared to have amounted to some £60,000,000, as against £5,000,000's worth of trade with the Chinese mainland. While Japan needed to trade with mainland China, hecthought that its importance to her economy could be over-emphasized. Mr. Merchant concluded by saying that the United States Government did not contemplate any pre-emptive or exclusive arrangements between Japan and the authorities in Formosa. He said hecthought that an agreement could be drafted which would satisfy the United States Government, His Majesty's Government and Japan, but the danger was that it might not be acceptable to Chiang Kai Shek who seemed unlikely to agree to a document which stated that he could speak only for a limited part of China's territory. Mr. Shattock, (who joined the meeting at this stage) stated that he also thought it unlikely that Chiang Kai Shek would accept a Treaty which denied his right to speak for the whole of China.

8. Mr. R.H. Scott then said that he agreed that the volume of Japan's trade with Formosa, and her obligation under Article 4 of the Peace Treaty, made relations of some kind between Tokyo and Taipeh a necessity. He emphasized, however, that the Japanese must be given no pretext for claiming that Allied pressure had been exerted upon them to open any preliminary talks with the Nationalists on this subject of these relations.

9. In reply to a question, Mr. Merchant said that the United States Government had already impressed upon the Chinese Nationalists that Japan could not be expected to consider a Peace Treaty with them whose operation was not restricted to those territories which Chiang Kai Shek actually controlled.

10. It was agreed that the Foreign Office should draft a memorandum of understanding on the basis of this discussion, which would be considered further on the followind day.

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11. The meeting broke up at 6.0 p.m. 1st and 2nd Meetings held at 11.30. am. and 4.30 p.m. on 14th November.

12. At successive meetings the original foreign office draft Memorandum was discussed and amended. A final draft Memorandum for submission to the Foreign Secretary and the Secretary of State was agreed at 5.30 p.m. Mr. Merchant undertook to telegraph it at once to Washington for approval by the Department of State, and to inform the Foreign Office as soon as a reply was received.

[Note. Mr. Shattock did not attend the two meetings on 14th November].

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